

COVER SHEET

A N 0 9 2 0 0 2 5 5 7
S.E.C. Registration Number

T H E P H I L I P P I N E
S T O C K
E X C H A N G E
I N C .

(Company's Full Name)

P S E P L A Z A , A Y A L A T R I A N G L E
A Y A L A A V E N U E , M A K A T I C I T Y

(Business Address: No. Street/City/Town/Province)

AISSA V. ENCARNACION
Corporate Secretary

Contact Person

688-7600

Company Telephone Number

Month Day

SEC FORM 17-C
FORM TYPE

Month Day

Secondary License Type, if Applicable

Dept. Requiring this Doc.

Amended Articles Number/Section

Total Amount of Borrowings

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

Remarks = pls. use black ink for scanning purposes

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-C

CURRENT REPORT UNDER SECTION 17
OF THE SECURITIES REGULATION CODE
AND SRC RULE 17.2(c) THEREUNDER

1. Date of Report (Date of earliest event reported): January 22, 2015
 2. SEC Identification Number: AN092-002557
 3. BIR Tax Identification No.: 002-333-130
 4. Exact name of registrant as specified in its charter: The Philippine Stock Exchange, Inc.
 5. Republic of the Philippines
Province, country or other jurisdiction of
incorporation
 6. (SEC Use Only)
Industry Classification Code:
 7. 2nd Floor, PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City 1226
Address of principal office Postal Code
 8. (632) 688-7600
Registrant's telephone number, including area code
 9. 2nd Floor, PSE Centre, Ortigas Center, Pasig City 1605
Former name or former address, if changed since last report
 10. Securities registered pursuant to Sections 8 and 12 of the SRC
- | Title of Each Class | Number of Shares of Common Stock
Outstanding and Amount of Debt Outstanding |
|---------------------|--|
| Common Shares | 73,330,390 |

b. Indicate the item numbers reported herein:

Item 9. Other Events

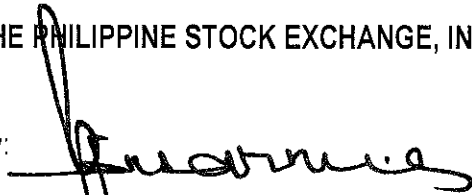
The Philippine Stock Exchange will host a Philippine Corporate Day on January 22 and 23, 2015 in partnership with DBP-Daiwa Capital Markets Philippines, Inc. The roadshow will highlight the performance and prospects of the Philippine stock market and some of its listed firms. Please find attached PSE presentation material.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the Issuer has duly caused this report to be signed on its behalf by the undersigned hereunto duly authorized.

THE PHILIPPINE STOCK EXCHANGE, INC.

By:

A handwritten signature in black ink, appearing to read 'A. Encarnacion', written over a horizontal line.

AISSA V. ENCARNACION
Corporate Information Officer



THE PHILIPPINE STOCK EXCHANGE, INC.

Presentation Outline

- ❖ Exchange Profile
- ❖ Economic Snapshots
- ❖ Stock Market Highlights
- ❖ PSE Financial Performance
- ❖ PSE Strategy

Exchange Profile



Exchange Profile

ABOUT US:

The Philippine Stock Exchange is a self-regulatory organization that provides and ensures a fair, efficient, transparent and orderly market for the buying and selling of securities.

Considered one of the oldest bourses in Asia, the PSE traces its roots back to the country's two former bourses -- the Manila Stock Exchange (formed in 1927) and the Makati Stock Exchange (formed in 1963). The Manila and Makati bourses were unified on December 23, 1992 to form the PSE.

The **Only** equities exchange in the Philippines

PSEi broke
2 record highs in
2015

Trading from
9:30AM to
3:30PM, with a
recess at 12:00NN to
1:30PM

New Products

**ETF, Shari'ah, and
SGX-PSE MSCI
PH Index Futures**

State-of-the-art
systems

**PSEtrade, Total
Market Surveillance,
EDGE, and PSETradex**

263 listed companies
133 active trading
participants



Subsidiaries and Affiliates



Securities Clearing Corporation of the Philippines

- Wholly-owned subsidiary
- A clearing and settlement agency for eligible trades executed in the PSE
- Acts as a central counterparty to all PSE trades
- Granted a provisional license to operate as securities depository

Capital Markets Integrity Corporation

- Wholly-owned subsidiary
- Spun off entity of what was formerly the Market Regulation Division of PSE
- Incorporated in March 2011
- Granted SRO status and started operations in 2012

Philippine Dealing System Holdings Corporation

- PSE holds a 54.2%* stake
- Holding Company of PDEX, PDTC and PSSC
- Provides trading, clearing and settlement of fixed income, depository for equities and fixed income
- Also provides registry and custody services for fixed income

**Actual and indicative as of Nov. 28, 2014*



The Philippine Stock Exchange, Inc.

Economic Snapshot



Economic Snapshot



Indicator	Latest
GDP Growth (in %)	5.8 (9M2014)
Ave. Inflation (in %)	4.1 (2014)
91-Day T-Bill Rate (in %)	1.416 (Dec)
WEF Competitiveness Ranking	52 (2014)

Investment Grade Ratings from:

FitchRatings **MOODY'S** **STANDARD & POOR'S**

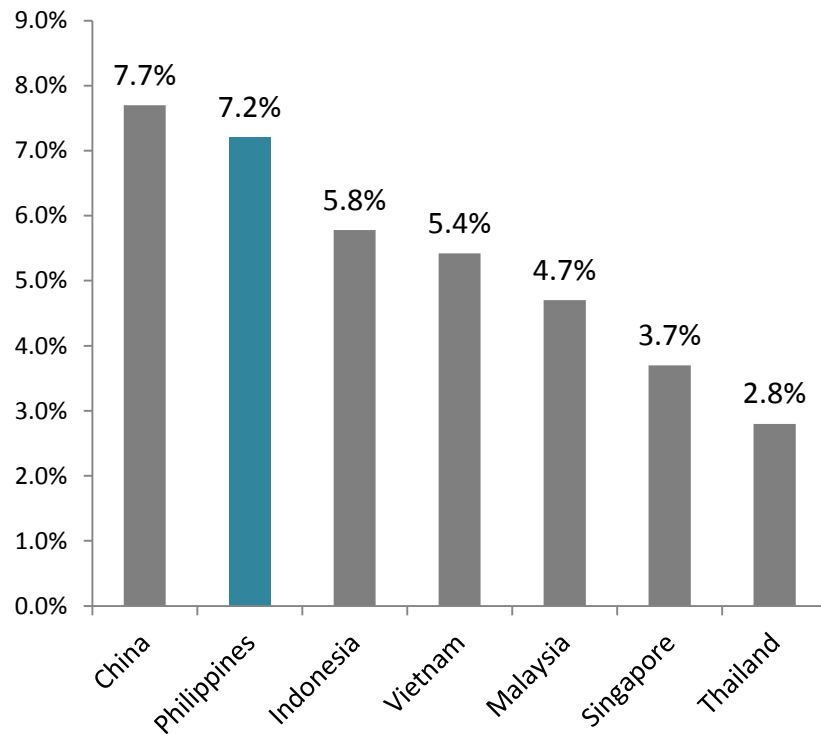


National
Information and
Credit Evaluation
Ratings Inc.

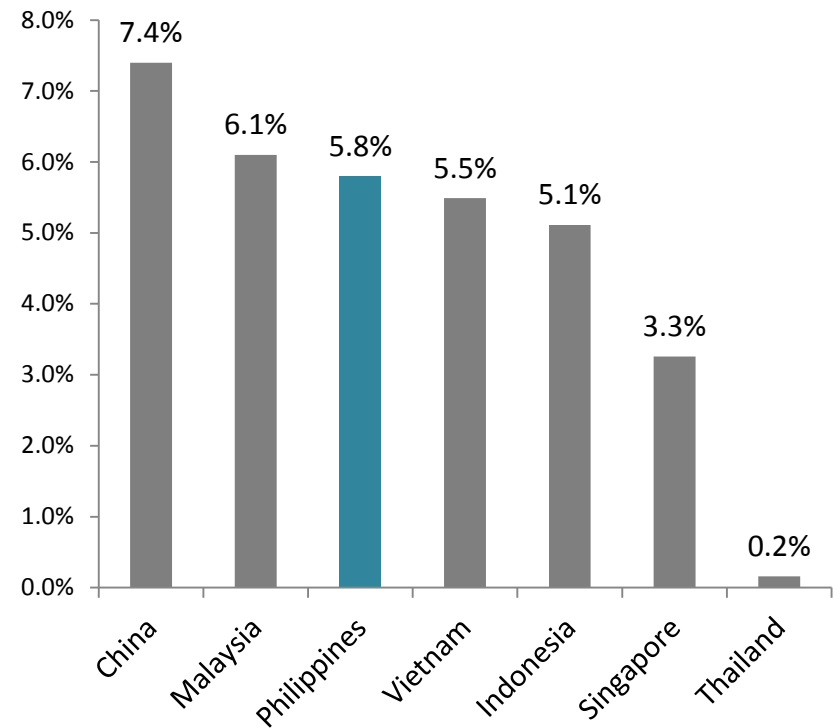
Sources: National Statistics Office, Bangko Sentral ng Pilipinas, Department of Treasury, and WEF 2014-2015 Global Competitiveness Report

PH Outperforms Peers

2013 GDP Growth



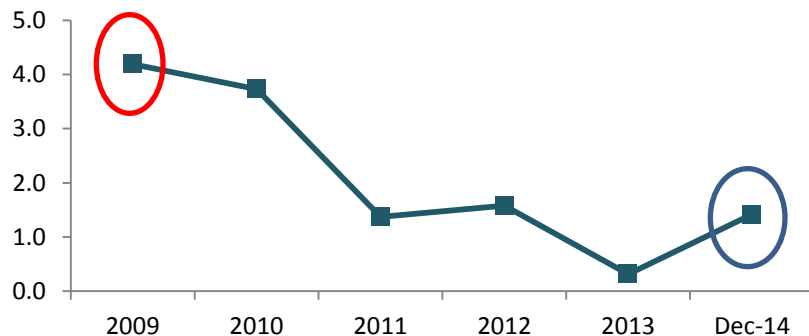
9M 2014 GDP Growth



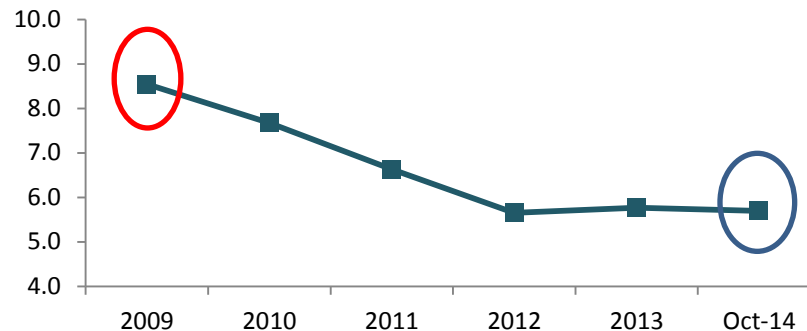
Source: Philippine National Statistical Coordination Board, Statistics Indonesia, Department of Statistics Malaysia, Thailand Office of the National Economic and Social Development Board, and Singapore Department of Statistics, General Statistics Office of Vietnam and National Bureau of Statistics of China

Favorable Business Environment

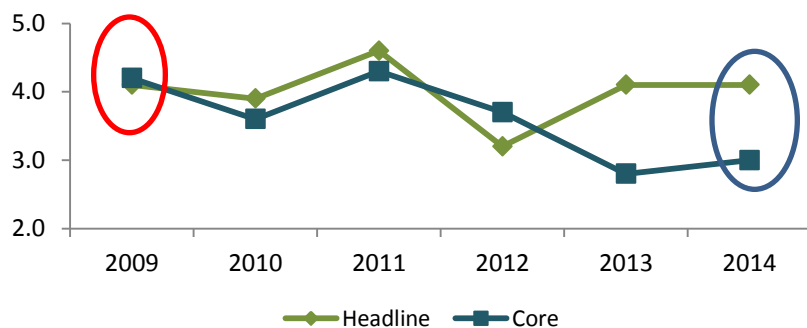
91-day T-Bill Rate (in %)
2009-2014 (Latest)



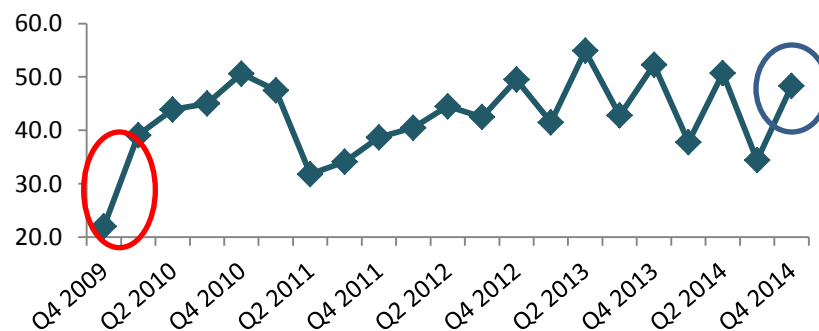
Bank Average Lending Rates (in %)
2009-2014 (Latest)



Average Inflation Rate (in %)
2009-2014 (Latest)



Business Confidence Index (in %)
2009-2014 (Latest)



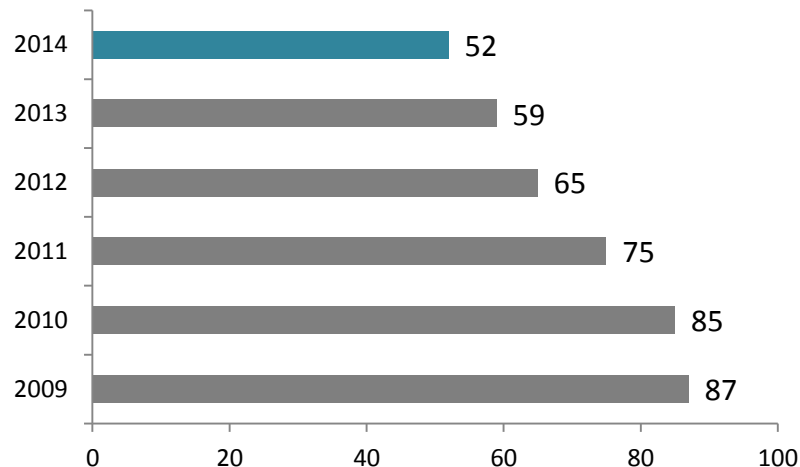
Sources: Bangko Sentral ng Pilipinas and Philippine Statistics Authority

Improved Competitiveness

WEF Global Competitiveness Index Ranking

Country	2010	2011	2012	2013	2014	2010-2014 Jump
Singapore	3	2	2	2	2	1
Malaysia	26	21	25	24	20	6
Brunei	28	28	28	26	n/a	n/a
Thailand	38	39	38	37	31	7
Indonesia	44	46	50	38	34	10
Philippines	85	75	65	59	52	33
Vietnam	59	65	75	70	68	-9
Lao PDR	n/a	n/a	n/a	81	93	n/a
Cambodia	109	97	85	88	95	14
Myanmar	n/a	n/a	n/a	139	134	n/a

Philippines' Ranking (2009-2014)



- ✓ PH recognized as the **most improved economy** in the world since 2010
- ✓ Posted gains in 10 out of 12 pillars
- ✓ Key drivers:
 - 1) Innovation (17 notches)
 - 2) Macroeconomic Environment (14 notches)
 - 3) Institutions (12 notches)
 - 4) Goods market efficiency (12 notches)

Source: World Economic Forum

Symbol Bid Ask Last Volume Symbol Bid Ask Last Volume Symbol Bid Ask Last Volume

ABA 0.4900 0.4950 0.4950 60,000 BRN 1.03 1.04 1.05 0 FDC 4.20 4.30 4.20 4,000

ABC 10.00 10.10 10.00 45,000 BSC 0.2300 0.2400 0.2300 3,100 FFI 14.20 14.20 15.00 350,000

ABS 31.00 32.00 32.00 41,000 CAL 3.35 3.45 3.45 164,000 FGEN 13.00 13.00 13.00 350,000

ABSP 31.80 32.00 32.00 55,000 CEB 46.65 47.00 46.95 1,014 K FLJ 1.39 1.40 1.39 6,838 K

ACE 518.00 518.50 518.50 51,760 CHI 3.73 3.79 3.80 186,800 FMETF 95.00 95.50 95.50 2,040

ACR 0.92 1.00 1.04 0 CHB 38.80 39.50 39.00 37,500 FOD 0.94 0.95 0.94 1,994 K

AEV 54.00 54.30 54.30 8,000 CHPS 12.42 14.20 14.20 3,300 FRI 53.55 54.00 54.00 233,000

AGF 3.00 3.07 3.05 209,000 CHT 0.98 1.02 0.98 30,000 GEN 0.3850 0.4000 0.3900 2,430 K

AGI 25.80 25.95 25.95 2,400 COML 0.81 0.82 0.82 0 GLO 1.406 1.410 1.410 1,035

ALCO 0.1950 0.1950 0.1900 2,300 COAT 2.30 3.00 2.90 7,000 GMAT 8.20 8.30 8.20 1,581 K

ALHI 12.22 13.00 13.00 0 COL 16.70 16.80 16.80 200 GHAP 7.90 8.00 8.00 19,200

ALI 24.75 24.80 24.80 8,149 K COSCO 8.90 9.00 8.90 207,100 GREEN 0.0110 0.0120 0.0110 500,000

ALPHA 21.35 23.00 21.95 3,600 CPG 1.36 1.37 1.37 2,894 GSM 22.50 23.00 23.25 3,600

ANS 5.03 5.30 5.30 0 CHN 0.52 0.55 0.55 5,000 GTCAP 768.00 768.00 768.00 11,170

AP 6.69 6.70 6.69 0 CYBR 0.52 0.53 0.52 255,000 HDO 6.52 7.00 6.52 3,300

APC 34.35 34.35 34.35 454,600 DAVIN 0.86 0.90 0.89 505,000 HI 6.28 6.50 6.30 0

ARA 1.46 1.51 1.52 2,000 DEL 5.00 5.09 5.09 116,700 HLCM 15.00 15.30 15.25 11,100

AT 14.80 14.68 14.68 4,100 DIC 55.60 56.40 55.50 8,770 ICT 101.00 101.10 101.10 624,990

ATN 1.06 1.29 1.06 50,000 DWPL 22.70 23.00 22.70 0 IHI 2.51 2.69 2.50 11,000

AUB 68.10 68.15 68.10 305,900 DNL 6.28 6.29 6.29 449,700 ION 0.3650 0.3700 0.3650 60,000

BC 68.30 68.30 68.30 15,100 DMC 2.32 2.50 2.50 2,000 IRC 1.38 1.45 1.45 4,000

BDO 68.65 68.65 68.65 3,200 EDC 5.30 5.31 5.31 2,280 IRI 1.82 1.91 1.91 25,000

BDL 4.93 4.95 4.94 523,000 EGI 9.35 9.40 9.40 25,700 JPC 173.00 173.10 173.00 266,290

BEL 0.1440 0.1450 0.1450 20,340 EG 0.0120 0.0130 0.0130 0 JGS 38.40 38.65 38.65 319,100

BIN 2.00 2.02 2.01 1,175 ELI 6.90 6.93 6.92 370,000 LC 0.3100 0.3150 0.3150 2,890 K

BLFI 1.96 2.08 2.00 0 EMP 10.38 10.70 10.70 70,400 LCB 0.3150 0.3200 0.3150 850,000

BLOM 8.74 8.75 8.74 2,520 K EVER 0.1730 0.1800 0.1800 0 LHC 0.60 0.62 0.62 2,000

BPI 86.90 87.00 87.00 88,280 EW 24.05 24.10 24.10 160,200 LING 3.04 3.00 3.00 230,000

THE PHILIPPINE STOCK EXCHANGE, INC. 11:32:33 AM Fri Dec 27, 2013 Continuous Trading

Total Trades 1180
Total Volume 1180

WORLD MARKET

THAILAND KOREA
HONG KONG JAPAN
TAIWAN
SINGAPORE
INDONESIA

Symbol Bid Ask Last Volume Symbol Bid Ask Last Volume Symbol Bid Ask Last Volume

LOTO 15.50 15.52 15.52 3,000 OPH 0.0170 0.0180 0.0170 7,200 K SEC 267.80 268.00 268.00 9,510

LPZ 3.97 4.00 4.00 102,000 OPHS 0.0180 0.0190 0.0180 4,400 SECB 115.40 116.00 115.40 90,790

LR 6.16 6.20 6.20 272,200 ORE 1.30 1.33 1.31 562,000 SEVN 98.30 100.00 98.50 0

LRI 8.06 8.75 8.75 62,500 OV 0.0350 0.0360 0.0360 0 SFI 0.1200 0.1220 0.1200 0

LRP 1.06 1.08 1.06 1,112 K PAL 5.80 6.00 5.80 11,300 SGI 1.10 1.18 1.18 33,000

LRW 0.69 0.72 0.70 1,994 K PAK 2.19 2.21 2.21 175,000 SHNG 3.15 3.24 3.22 0

LTG 15.45 15.44 15.44 351,200 PBR 21.95 22.85 22.30 5,000 SMO 0.1700 0.1750 0.1750 100,000

MA 0.0120 0.0130 0.0130 42,100 K PCOR 13.82 13.94 13.94 427,700 SLF 1.360 1.389 1.360 115

MAB 0.0140 0.0150 0.0140 100,000 PERC 5.42 5.48 5.41 0 SLI 0.59 0.60 0.60 14,000

MAKE 18.00 18.18 18.08 24,700 PF 232.00 237.00 231.00 238,070 SM 713.00 714.00 714.00 81,660

MARC 2.56 2.97 2.97 62,000 PFP 4.05 1.06 1.06 0 SMC 62.15 62.20 62.20 292,260

MB 0.48 0.49 0.47 4,000 PGG 37.95 38.00 37.95 134,800 SMC2A 76.00 76.15 76.20 13,090

MBT 75.50 75.55 75.50 836,480 PHES 0.3550 0.3750 0.3750 130,000 SMC2C 77.80 78.00 78.00 2,100

MCP 13.64 13.78 13.64 282,800 PNN 11.92 12.92 12.00 0 SMPH 14.64 14.66 14.64 1,240 K

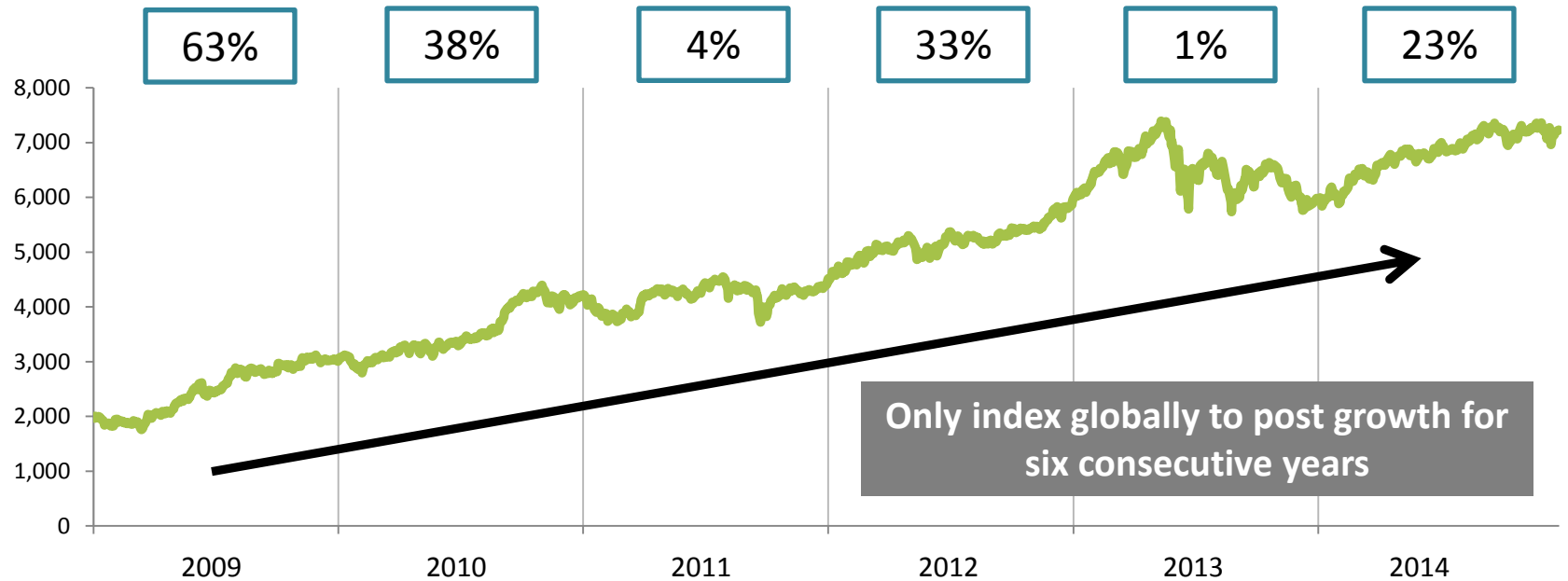
MED 0.1910 0.2080 0.1910 50,000 PP 4.40 4.50 4.48 50,000 SPH 1.85 1.88 1.85 16,000

MEG 3.23 3.24 3.24 4,552 K PH 86.15 86.20 86.20 17,940 STI 0.64 0.65 0.64 335,000

MEGW 1.83 2.40 2.40 0 PHX 4.38 4.40 4.40 2,000 SUN 0.90 0.91 0.90 474,000

MER 251.20 252.00 251.20 27,860 PPREF 108.70 109.00 109.00 0 T 1.80 1.8

Stock Market Highlights



**PSEi up by
22.8% in 2014**

**Record High:
7,490.88
on Jan. 14, 2015**



Strong economic growth



Investment grade status



Benign inflation



Improved competitiveness



Low interest environment

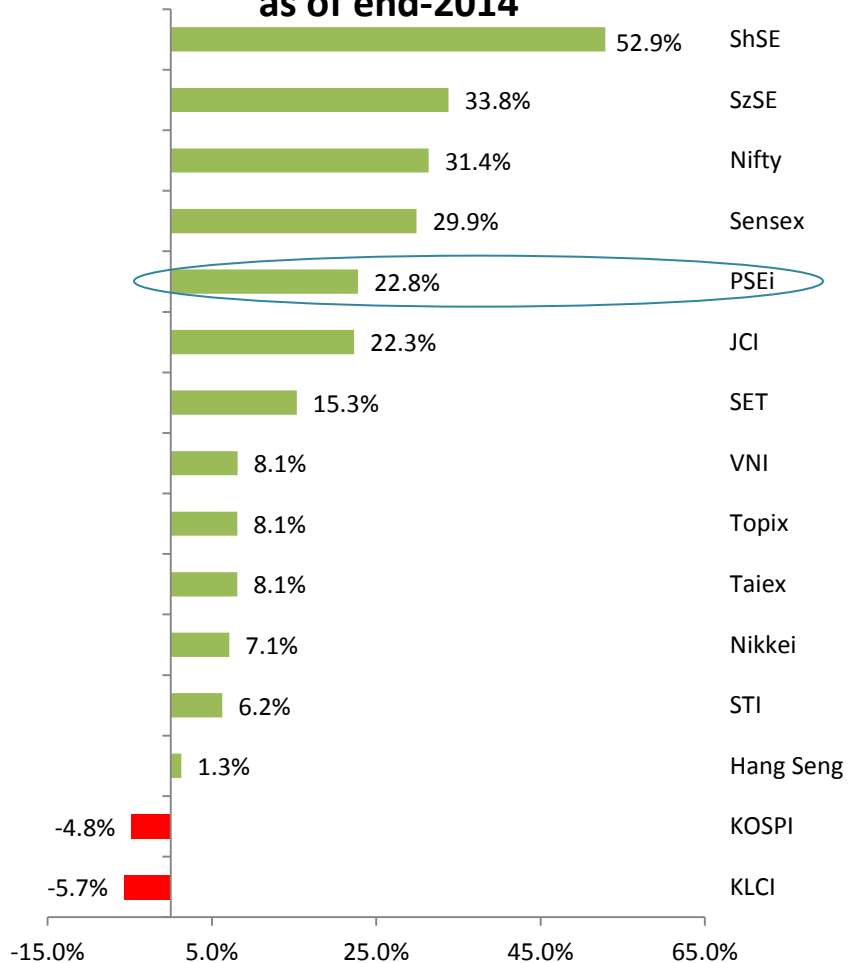


Source: Philippine Stock Exchange

The Philippine Stock Exchange, Inc.

Stock Market Highlights

PSEi Performance vs Select Asian Indices,
as of end-2014



**STANDARD
& POOR'S**

"We now believe the ongoing reforms...will endure beyond the current administration."



"The Philippines has undergone a remarkable transition from a pussycat into a tiger economy over the last decade...with a projected GDP of US\$1.2 trillion by 2030."



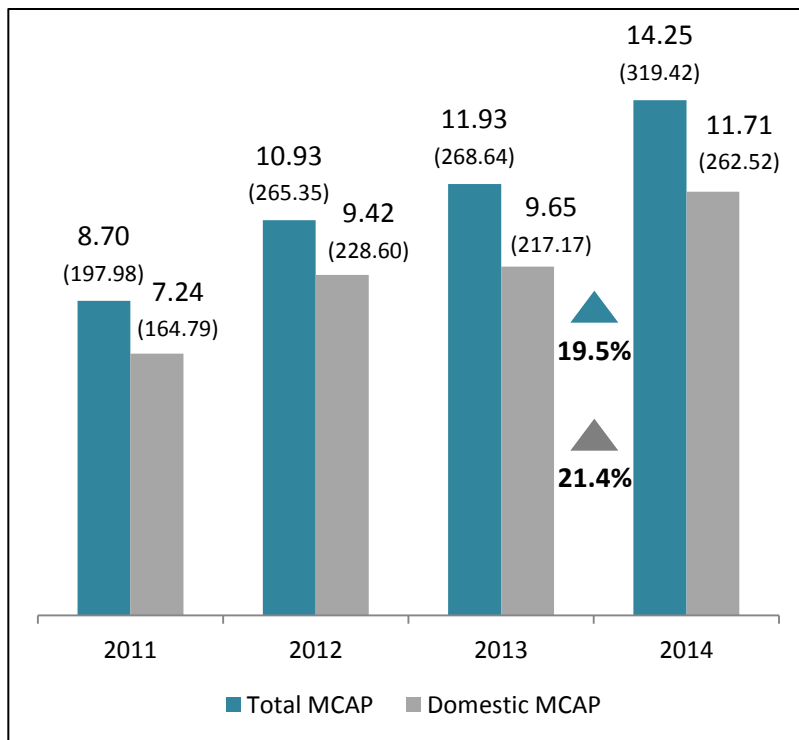
"The Philippines is set to become the world's 16th largest economy by 2050."

J.P.Morgan

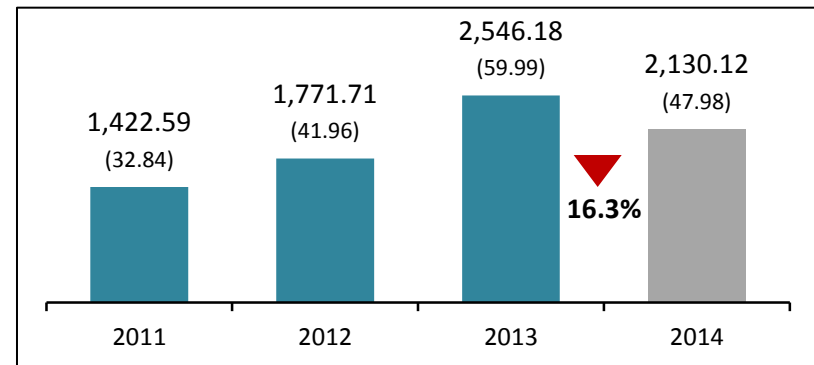
JPMorgan upgraded its ratings on Philippine shares to overweight from neutral.

Stock Market Highlights

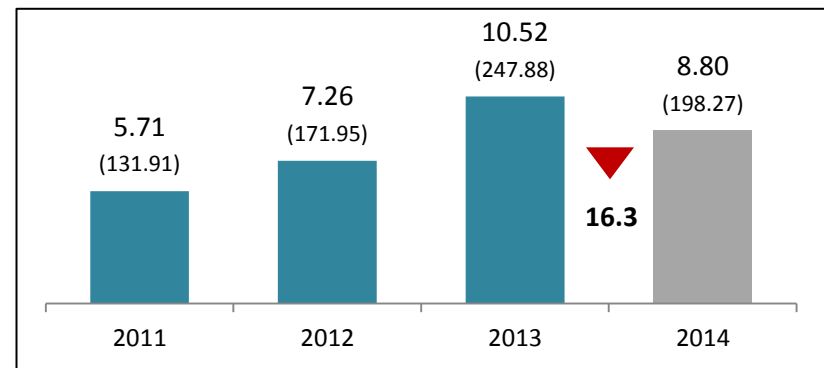
**Total and Domestic Market Capitalization,
In PhP Trillion (US\$ Billion)**



**Total Value Turnover,
in PhP Billion (US\$ Billion)**

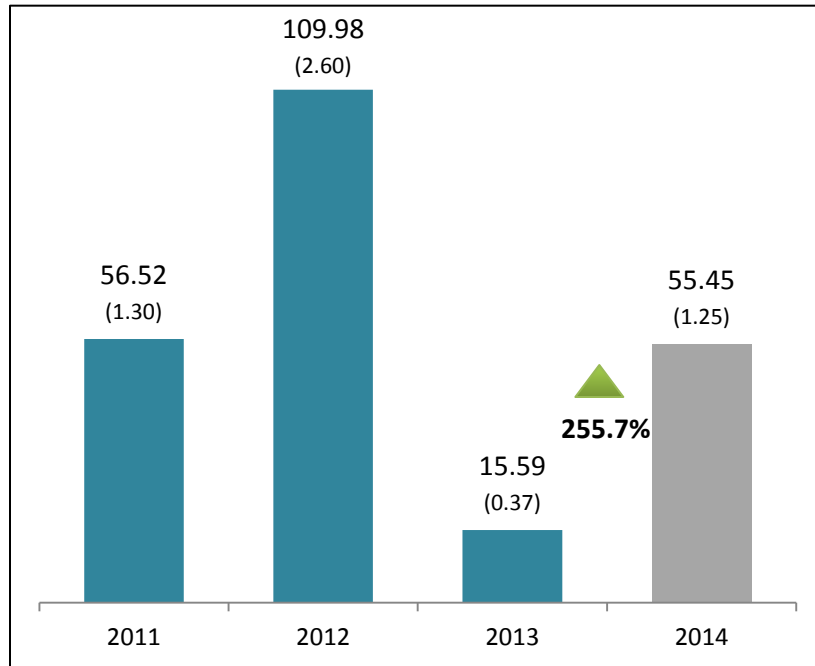


**Average Daily Value Turnover,
in PhP Billion (US\$ Million)**

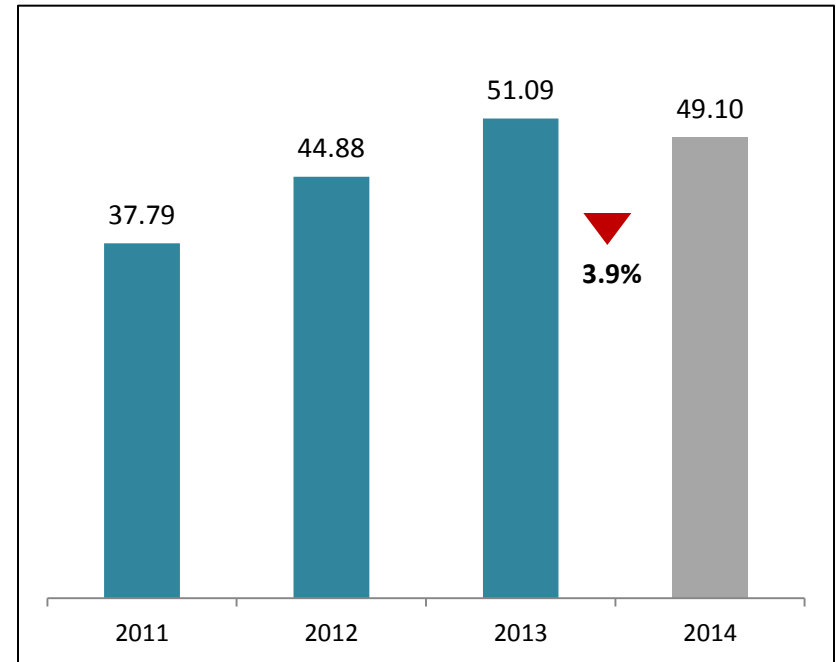


Stock Market Highlights

**Net Foreign Transaction,
In PhP Billion (US\$ Million)**

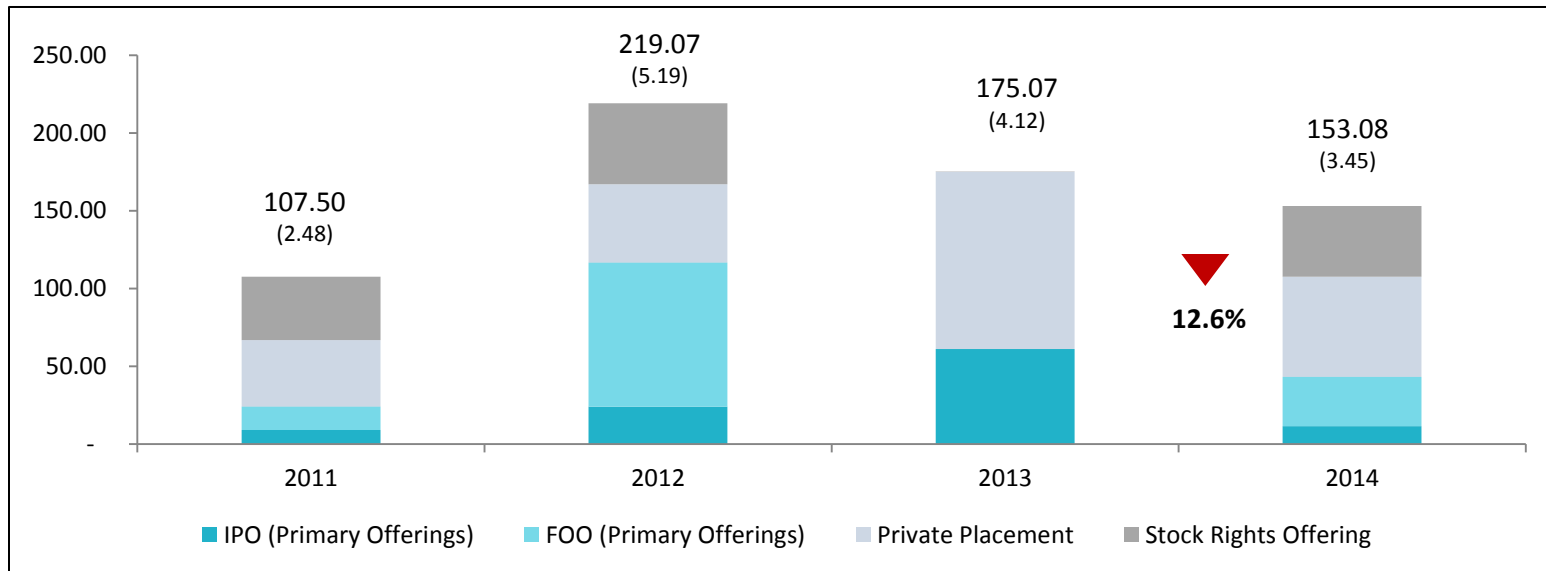


% Share of Foreign Trading to Total Trading



Stock Market Highlights

Total Capital Raised, in PhP Billion (US\$ Million)



No. of Deals

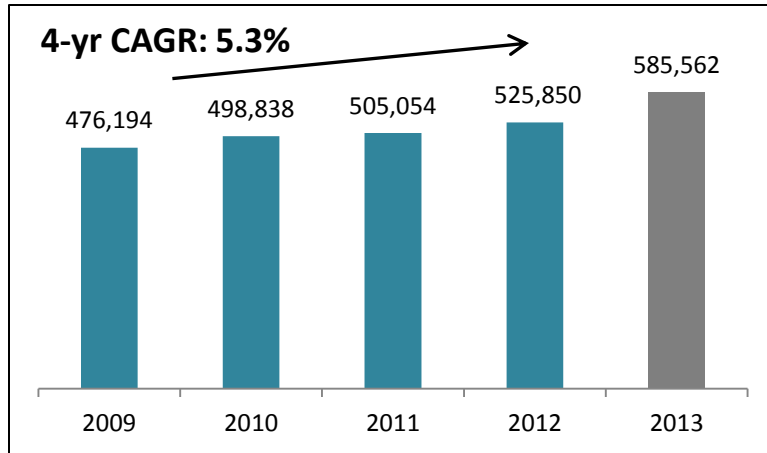
2014

41

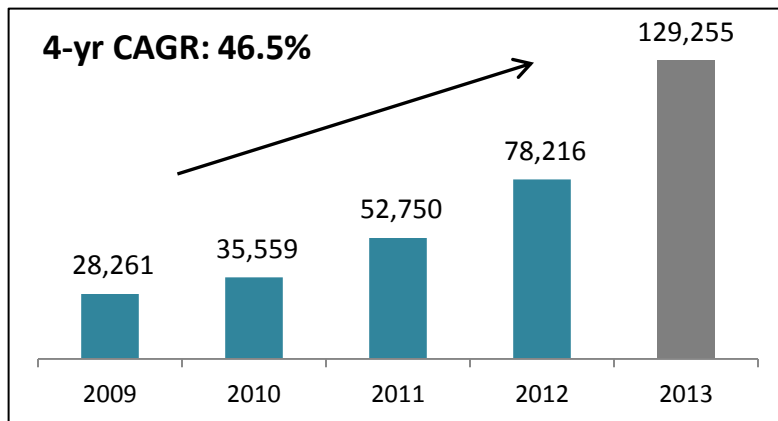
- Five new companies listed on the PSE through an initial public offering.
- Capital raising by banks reached an aggregate amount of P44.57 billion (US\$999.95 million), in compliance with Basel III requirements, among others.

Growing Investor Base

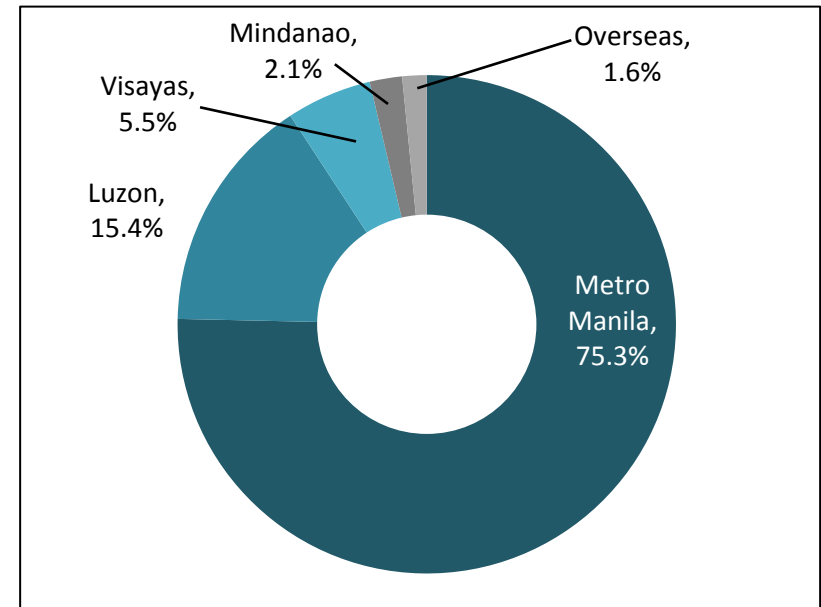
Total Number of Accounts



Total Number of Online Accounts



Profile of Retail Investors by Location

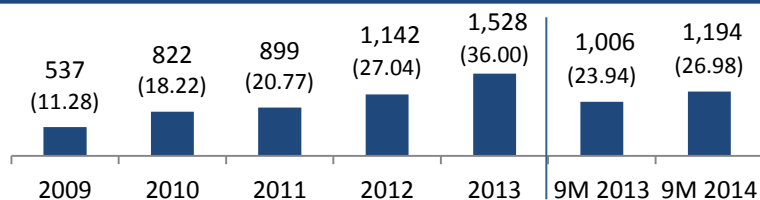


PSE Financial Performance



Consolidated Financial Performance

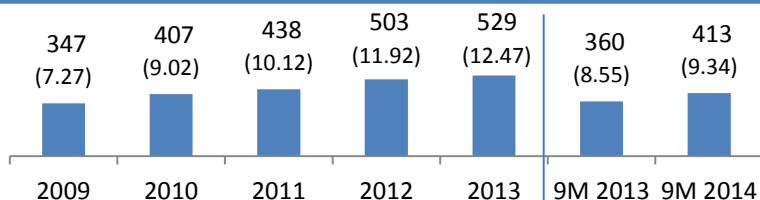
Operating Revenues in PhP Mn (US\$ million)



■ Operating revenues have been gradually increasing since 2009 and even surpassed the P1 billion mark for the first time in 2012.

■ Total operating revenues for the first nine months of 2014 increased by 19% to P1.19 billion (US\$26.98 million) from P1.01 billion (US\$23.94 million) in the same period in 2013.

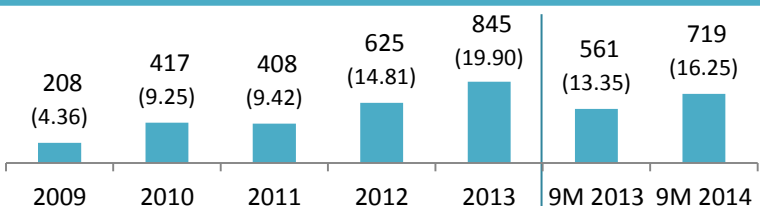
Operating Expenses in PhP Mn (US\$ million)



■ Operating expenses in the first nine months of 2014 went up due to the double-digit increase in depreciation, repairs and maintenance, and professional fees.

■ Total operating expenses rose by 15% to P413.19 million (US\$9.34 million) from P359.63 million (US\$8.55 million) in the same period in 2013.

Net income in PhP Mn (US\$ million)



■ With operating revenues expanding faster than operating expenses, net income rose by 28% to P718.96 million (US\$16.25 million) during the nine-month period in 2014.

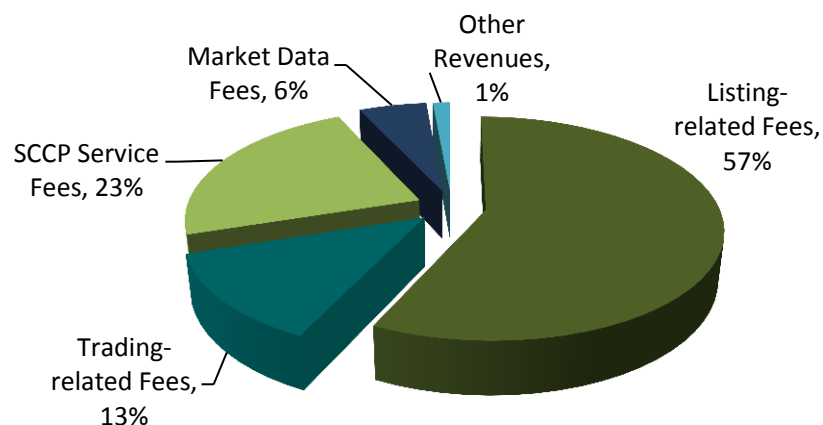
■ The remarkable rise in net income for the first nine months of 2014 was mainly driven by higher revenues generated from listing-related activities and market data fees.

Operating Revenues

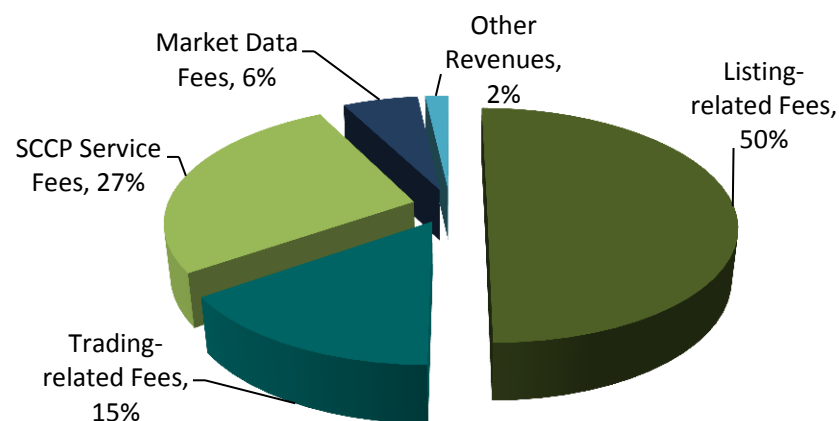
Listing-Related Fees in PhP Mn (in US\$ Mn)
Trading-Related Fees in PhP Mn (in US\$ Mn)
SCCP Service Fees in PhP Mn (in US\$ Mn)
Market Data Fees in PhP Mn (in US\$ Mn)
Other Revenues in PhP Mn (in US\$ Mn)

9M 2013	9M 2014	Change
380 (9.05)	682 (15.40)	↑ 79.1%
199 (4.74)	154 (3.48)	↓ 22.6%
356 (8.46)	275 (6.22)	↓ 22.6%
55 (1.31)	66 (1.50)	↑ 20.8%
16 (0.38)	17 (0.38)	↑ 6.5%

Revenue Mix, 9M 2014



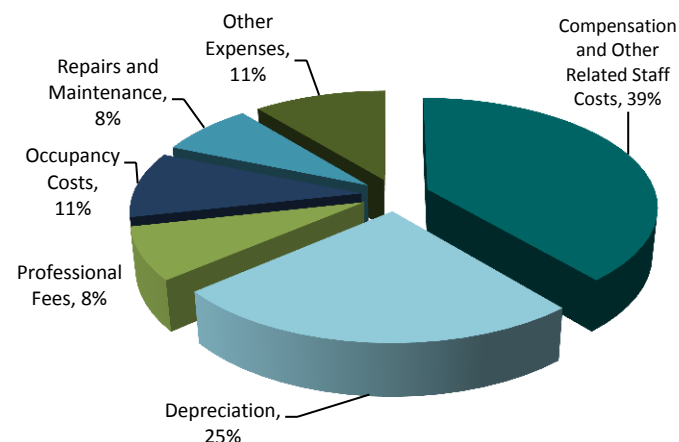
Average Revenue Mix, 2010 to 9M 2014



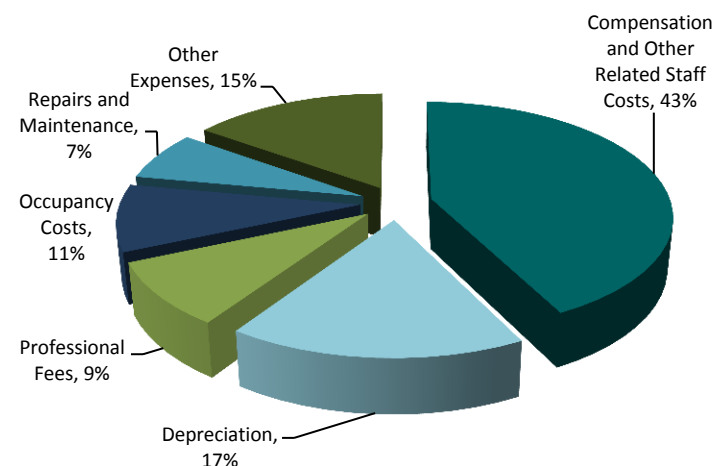
Operating Expenses

	9M 2013	9M 2014	Change
Compensation & Other Related Staff Costs in PhP Mn (in US\$ Mn)	161 (3.84)	161 (3.63)	↓ 0.5%
Depreciation in PhP Mn (in US\$ Mn)	60 (1.42)	103 (2.33)	↑ 72.7%
Professional Fees in PhP Mn (in US\$ Mn)	29 (0.69)	32 (0.72)	↑ 10.6%
Occupancy Costs in PhP Mn (in US\$ Mn)	37 (0.88)	40 (0.91)	↑ 8.8%
Repairs & Maintenance in PhP Mn (in US\$ Mn)	29 (0.69)	32 (0.73)	↑ 11.0%
Other Expenses in PhP Mn (in US\$ Mn)	43 (1.03)	45 (1.02)	↑ 3.6%

Expense Mix, 9M 2014



Average Expense Mix, 2010 to 9M 2014



Fundamental Ratios

	9M 2013	9M 2014	Change
Return on Equity (in %), TTM	30.39	43.41	 42.8%
Return on Assets (in %), TTM	23.29	33.28	 42.9%
Dividend Yield (in %)	2.51	3.08	 22.7%
Book Value Per Share in PhP (in US\$)	31.51 (0.75)	31.49 (0.71)	 0.1%
Earnings Per Share in PhP (in US\$)	9.58 (0.23)	13.67 (0.31)	 42.7%

	2013	2014	Change
Price Earnings Ratio (TTM)	31.22	21.36	 31.6%

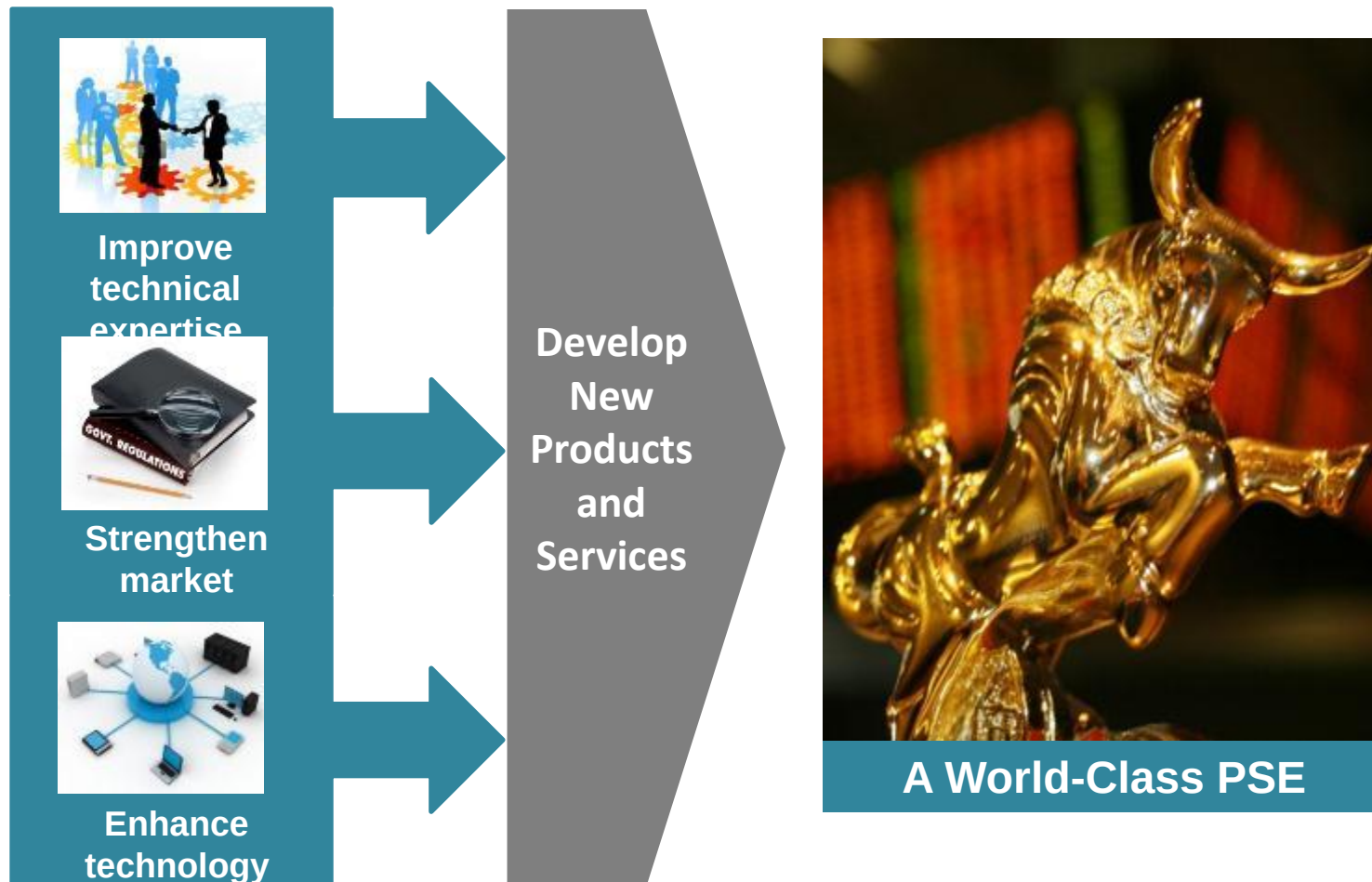
Cash Dividend

Total	P9.00/share (US\$0.22)	Payout Ratio	67%
Payment Date	April 28, 2014	Five-Year Payout Ratio	82%

New PSE Strategy



PSE Strategy



New Products and Services



Exchange Traded Funds



Index Options and Futures



Shari'ah Compliant Listed Companies



Electronic Disclosure Generation Technology



PSE Tradex

2015 Initiatives

Develop New Products and Services

- Implementation of short selling
- Launch of the Personal Equity and Retirement Account (PERA) law
- Regulatory framework for index options and futures
- Additional ETF listings
- Collaboration with Deutsche Boerse on market data products
- Listing rules for structured warrants
- Offer to acquire PDS shares

Enhance Market Education

- Internet-based market education initiatives
- International roadshows
- Philippine Corporate Governance Blueprint
- ASEAN marketing initiative

Improve Technology Structure

- Adoption of NASDAQ OMX's X-Stream Trading Technology
- Launch of PSETradex mobile app with order management
- Development of uniform financial templates for PSE EDGE

On Track to Becoming a World-Class Exchange and Company



Recognitions

- Awarded Most Admired Board of Directors in 2012
- PSE Chairman awarded by IABC in CEO Excel Awards 2013 for “discipline, precision and integrity”
- PSE President was a finalist for the Global Filipino Executive of the Year at the Asia CEO Awards 2013
- PSE among the Philippines’ Top 50 best performing listed companies in the ASEAN Corporate Governance Scorecard for Publicly-Listed Companies in 2013 and 2014
- PSE named Best Stock Exchange in Southeast Asia in 2013
- PSE’s 2012 Annual Report bagged Philippine Quill Awards in 2013
- PSE President named Best CEO for Investor Relations Excellence Award in 2014
- PSE President received CEO Excel Awards in 2014
- PSE among the recipients of the Asia’s Outstanding Company on Corporate Governance award in 2014
- PSE President named Asian Corporate Director of the Year in 2014

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